
Introduction to Economics

Class 6 — Equilibrium, shifts and prices as signals

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Plan for today

Monday, one more look

Olive oil: what happened?

Where the two curves cross

Above and below the crossing

Prices as signals

When a curve moves: three steps

Break

Idea meetings today, during class

Supply moves; both curves move

Nine cases, and a teaser

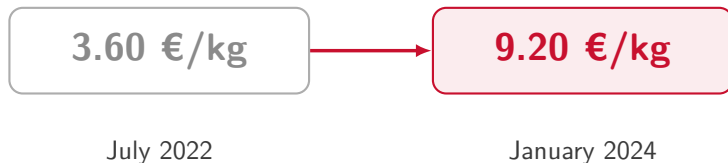
Before Thursday 15 October

Monday, one more look: milk gets dearer — which curve moves?

The neighbourhood's market for *café amb llet*. Milk goes up in price.

- A)** Demand: a dearer cup, fewer buyers
- B)** Supply: an input got dearer
- C)** Both curves
- D)** Neither: nobody changed the price of a cup

Olive oil at origin: 3.60 euros a kilo, then 9.20



What happened — and which curve?

Poolred, the Spanish olive-oil origin price system: weekly prices paid to mills for extra virgin oil.

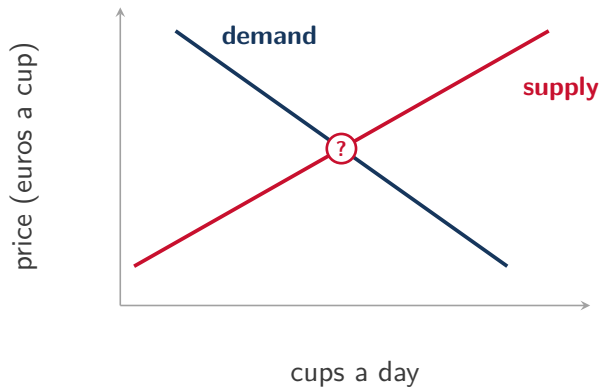
Revealed in class

Before class: write down your guess — was it the buyers' side or the sellers' side, and what was the event?

Where the two curves cross: 160 cups a day at 2.00 euros

price	wanted	offered
1.00	240	60
1.50	200	110
2.00	160	160
2.50	120	210
3.00	80	260

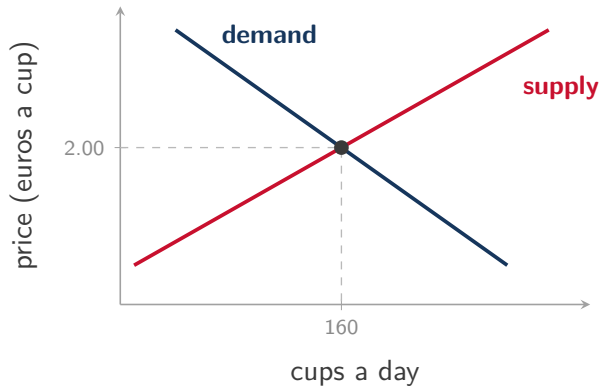
the neighbourhood, cups a day



Where the two curves cross: 160 cups a day at 2.00 euros

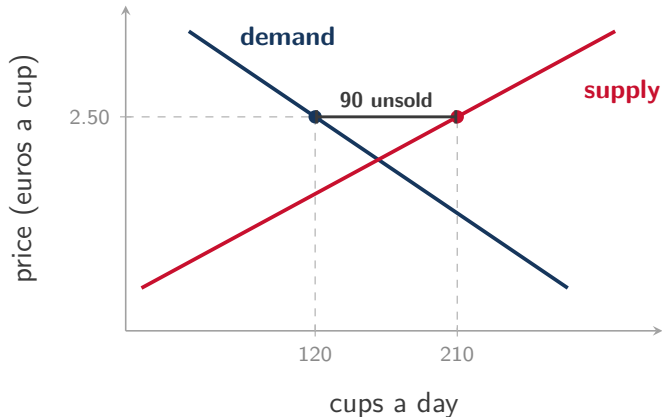
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the neighbourhood, cups a day

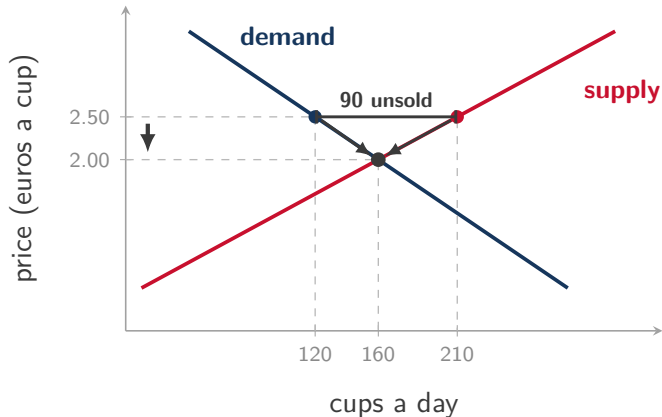


Equilibrium price: the one price at which wanted = offered. No queue, nothing left over.

At 2.50: offered 210, wanted 120 — a surplus of 90

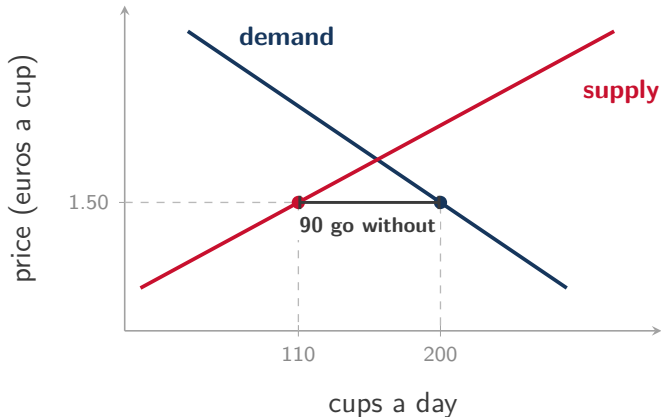


At 2.50: offered 210, wanted 120 — a surplus of 90

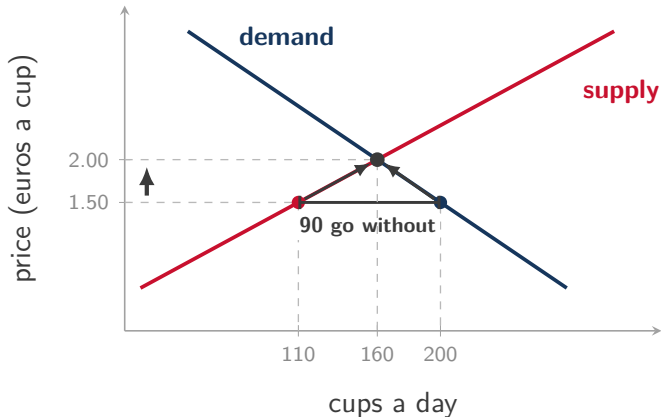


Surplus: unsold cups. Sellers cut the price; down both curves to 2.00.

At 1.50: wanted 200, offered 110 — a shortage of 90



At 1.50: wanted 200, offered 110 — a shortage of 90



Shortage: a queue. Sellers raise the price; up both curves to 2.00.

In pairs, three minutes: bikinis at the bars around the faculty

Where does the market settle? What happens at 5.50, and at 4.00?

price (€)	wanted	offered
4.00	300	80
4.50	250	140
5.00	200	200
5.50	150	260
6.00	100	320

bikinis a day

- 1 The crossing:
- 2 At 5.50:
- 3 At 4.00:

Nobody counts the cups. The price does.

The price rises

buyers: fewer cups, or tea

sellers: more cups, longer hours

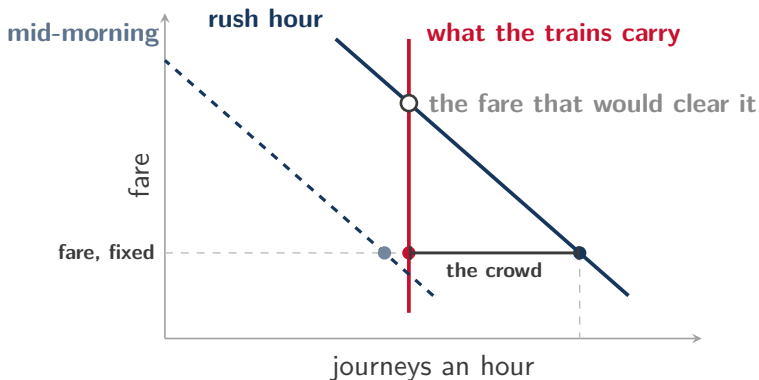
The price falls

buyers: more cups

sellers: fewer cups, shorter hours

Prices as signals: one number tells buyers what to give up and sellers what it pays to make.
160 cups a day, planned by nobody.

When the price cannot move, the crowd does the rationing

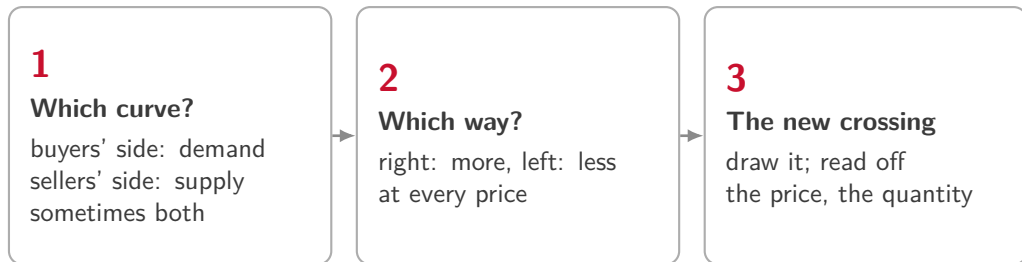


A fare set by decree: the shortage is the full platform, not a price. Price controls: Class 9.

When a curve moves

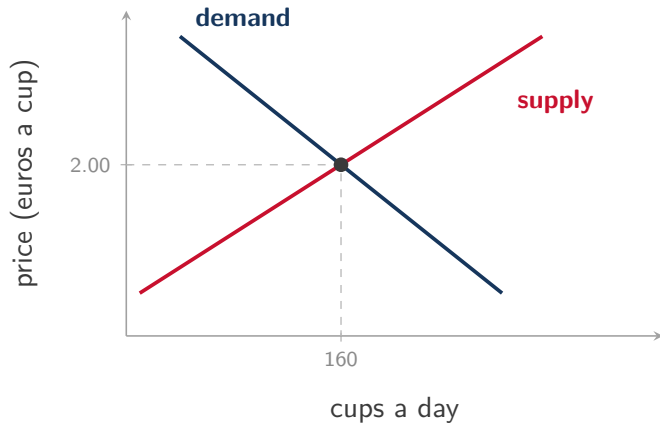
Three steps, and what the price does

A change in the market: three steps, always the same

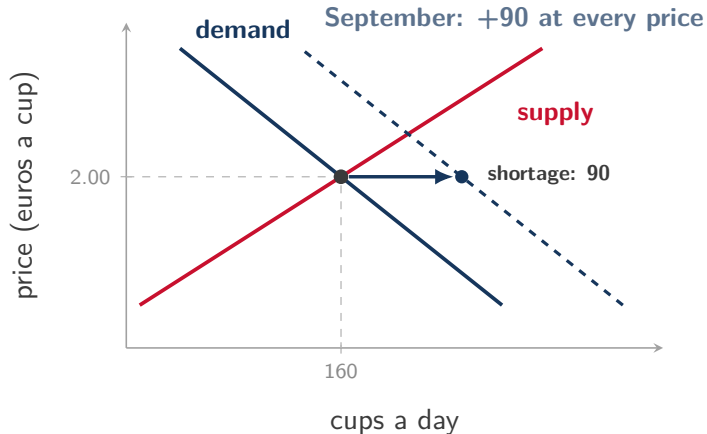


Step 1 is Monday's rule: anything but the good's own price moves a curve. The price is step 3.

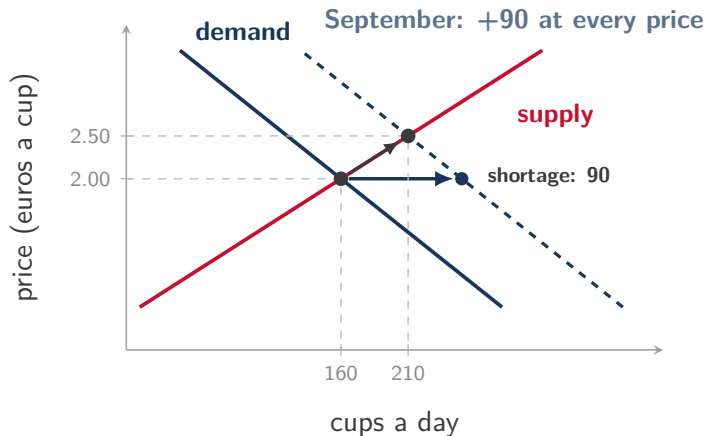
Demand shifts right: a dearer cup, and more of them



Demand shifts right: a dearer cup, and more of them



Demand shifts right: a dearer cup, and more of them



Demand moved, supply did not: the market slid *up the supply curve* to 2.50 and 210 cups.

Break

Ten minutes

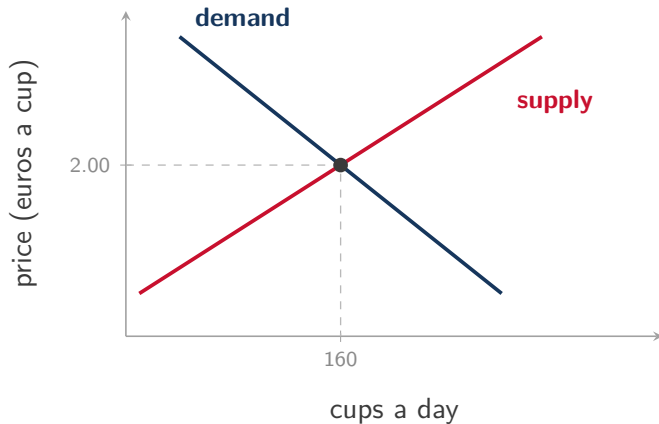
Idea meetings: today, during class

- Six minutes per group; I call you in class
- Bring your paragraph: we talk about the question, not the topic
- Topic fixed by Thursday 15 October

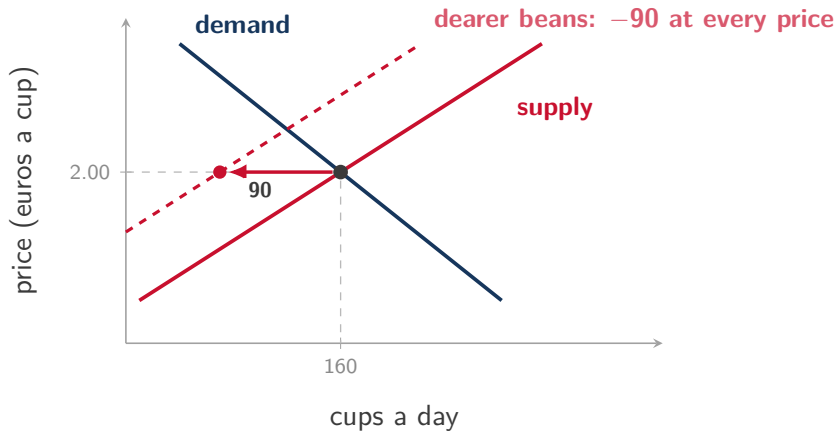


course page

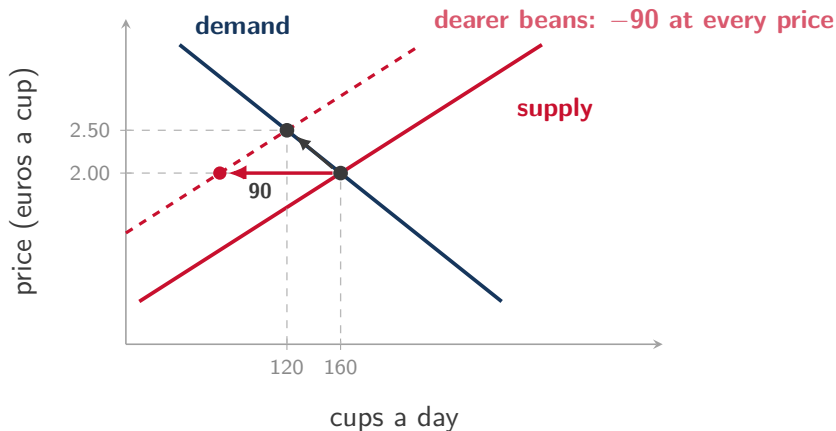
Supply shifts left: a dearer cup, and fewer of them



Supply shifts left: a dearer cup, and fewer of them



Supply shifts left: a dearer cup, and fewer of them



Supply moved, demand did not: the market slid *up the demand curve* to 2.50 and 120 cups.

In pairs: the coffee market — which curve, which way, and then?

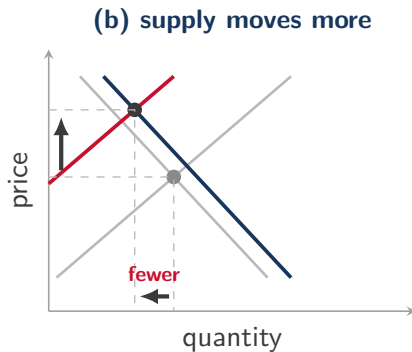
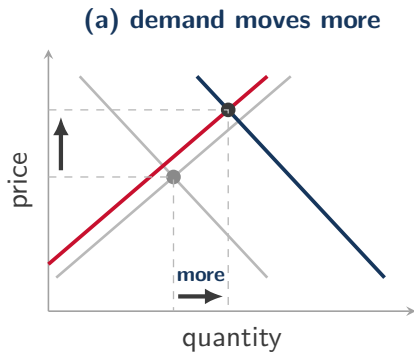
- 1 Milk gets cheaper.
- 2 A heatwave: fewer people want a hot drink.
- 3 Students are back in September.
- 4 Baristas' wages rise.
- 5 A cup gets dearer.

Four minutes. Which curve, which way — and what happens to the price and the quantity?

Revealed in class

Before class: take the three steps for the oil — which curve, which way, and what the new crossing says about the price and the kilos sold.

Demand right, supply left: the price rises for sure; quantity depends



In grey, the curves before. Both shifts push the price up; they pull the quantity opposite ways.

In pairs: 23 April, the day of the roses

Everyone wants a rose; florists fly them in. The model says:

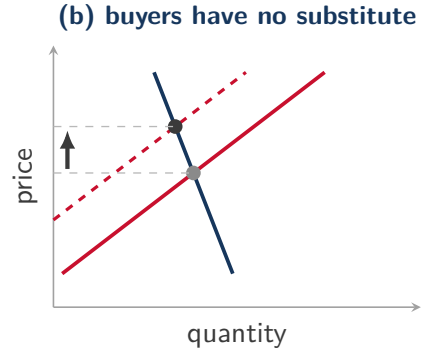
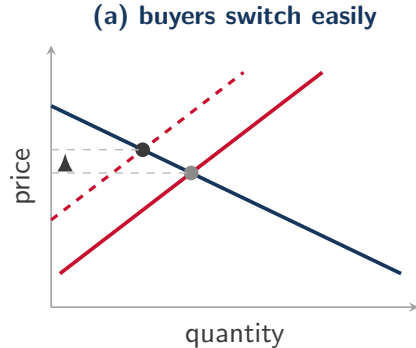
- A)** Dearer roses, and more of them
- B)** More roses for sure; the price: it depends
- C)** Dearer roses for sure; how many: it depends
- D)** Nothing for sure

One curve moves: both known. Both move: one of them depends

	supply unchanged	supply right	supply left
demand unchanged	no change	$P \downarrow \cdot Q \uparrow$	$P \uparrow \cdot Q \downarrow$
demand right	$P \uparrow \cdot Q \uparrow$		
demand left	$P \downarrow \cdot Q \downarrow$		

Four cells to fill in before class: draw each crossing twice, demand moving more, then supply moving more.

The same shift, two markets: how far does the price jump?



Which way is today's question. How much is Thursday 15 October's: **elasticity**.

**The price moves until wanted equals offered.
A curve moves: find the new crossing.**

One curve: price and quantity both known.

Both curves: one of them depends on which moved more.

Before Thursday 15 October

- No class Monday 12 October (Festa Nacional)
- Read Mankiw & Taylor, Ch. 3, pp. 53–66 — price elasticity of demand, other demand elasticities, price elasticity of supply; pp. 67–73 (applications) optional
- Project: your topic fixed by Thursday 15 October
- Problem set 1 (Blocks 1–2) handed out Thursday 15 October
- Practise in Sextant: the units the course page lists



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